§ AAA standards — what each is about + points to write

SA = Standard on Auditing · SRE = Standard on Review Engagements · SAE = Standard on Assurance Engagements · SRS = Standard on Related Services · SQC = Standard on Quality Control · TCWG = those charged with governance · FS = financial statements.

Quality and general principles

Standard	What it is about	Points to write
SQC 1	Quality control at **firm** level, all engagements	6 elements: leadership · ethical requirements · acceptance & continuance · human resources · engagement performance · monitoring. File assembly ≤ 60 days; retention ≥ 7 years; listed partner rotation ≤ 7 years; EQCR for listed audits.
SA 220	Quality control for **one audit**, by engagement partner	Partner responsible for overall quality: leadership, ethics/independence, acceptance, team competence, direction-supervision-review, consultation, EQCR before report date.
SA 200	Overall objectives of the auditor	Reasonable assurance FS free from material misstatement (fraud or error); professional skepticism and judgment; inherent limitations — greater for fraud and laws.
SA 210	Terms of engagement	Preconditions: acceptable framework + management accepts responsibilities; engagement letter; change in terms needs reasonable justification.
SA 230	Audit documentation	Enough for an experienced auditor to understand work, evidence, conclusions; assembled within 60 days; no deletion after assembly (additions dated, with reasons).
SA 240	Auditor's responsibility for **fraud**	Two types: fraudulent financial reporting, misappropriation of assets. Revenue recognition presumed fraud risk (rebuttable, document). Management override always a risk → test journals, estimates, unusual transactions. Report to management/TCWG; withdraw if needed.
SA 250	**Laws and regulations**	Two categories: (a) direct effect on FS (tax, pension) → obtain evidence; (b) other laws (licence, environment) → inquiry + inspect correspondence. Non-compliance → TCWG; consider report and regulator.
SA 260	Communication with **TCWG**	Auditor's responsibilities; planned scope and timing (incl. significant risks); significant findings (accounting practices, difficulties, written representations); independence (listed). Timely; written for significant findings.
SA 265	Communicating **internal control deficiencies**	Significant deficiencies → in writing to TCWG and management; other deficiencies → management.
SA 299	**Joint audit**	Division of work in writing (communicated to TCWG); each auditor responsible for own area; **jointly and severally** for common areas (decisions on reporting, non-compliance, presentation). Disagreement → separate report possible.
SA 402	Entity uses a **service organisation**	Understand services; Type 1 report = design at a date; **Type 2** = design + operating effectiveness over a period (needed to rely on controls). Can't refer to service auditor in report unless law requires.

Planning, risk, materiality

Standard	What it is about	Points to write
SA 300	Planning	Overall audit **strategy** (scope, timing, direction) vs audit **plan** (nature, timing, extent of procedures). Update as needed.
SA 315	Understanding entity and **risk assessment**	Risk assessment procedures: inquiry, analytical procedures, observation and inspection. Internal control components: control environment, risk assessment process, information system, control activities, monitoring. Identify significant risks.
SA 320	**Materiality** in planning	Overall materiality + performance materiality (lower, to cover aggregation); revise if new information.
SA 330	Responses to assessed risks	Overall responses + further procedures (tests of controls, substantive); substantive procedures for every material class regardless of risk.
SA 450	**Evaluating misstatements**	Accumulate (except clearly trivial): factual, judgmental, projected; ask management to correct; uncorrected → assess against materiality; communicate; written representation on uncorrected.
SA 540	Accounting **estimates**	Understand method, data, assumptions; test management's process / develop own range / use subsequent events; management bias indicators.
SA 600	Using work of **another auditor**	Principal auditor assesses other auditor's competence, gives instructions, reviews; reference in report only via Other Matter.
SA 610	Using **internal auditors**	Evaluate objectivity, competence, systematic and disciplined approach. Two ways: use their work, or **direct assistance** (not on significant judgments, high risk). Auditor alone responsible for opinion.
SA 620	Using **auditor's expert**	Evaluate competence, capabilities and objectivity; agree scope in writing; evaluate adequacy of findings. Don't refer in unmodified report. (Management's expert → SA 500.)

Evidence and completion

Standard	What it is about	Points to write
SA 500	Audit **evidence**	Sufficient (quantity) and appropriate (relevance + reliability). External, original, documentary, direct evidence is more reliable. Evaluate management's expert (competence, objectivity, work).
SA 501	Specific items: **inventory, litigation, segment**	Attend physical count (if material) — unforeseen: alternate date; impracticable: alternative procedures, else modify. Litigation: inquiry, minutes, legal expenses, letter to entity's lawyer.
SA 505	**External confirmations**	Auditor controls requests. **Positive** (reply always) vs **negative** (reply only if disagree — only when low risk, many small homogeneous balances). Management refuses → reasons; unreasonable → TCWG, possible modification.
SA 510	**Opening balances** (initial audit)	Read predecessor's working papers / audit current-year procedures; can't obtain evidence → qualified or disclaimer.
SA 520	**Analytical procedures**	Substantive analytics and near end of audit; investigate unexpected differences.
SA 530	**Audit sampling**	Statistical / non-statistical; sampling risk; project misstatements to population.
SA 550	**Related parties**	Identify relationships; transactions outside normal course = significant risk; check approval, arm's-length claims.
SA 560	**Subsequent events**	Three periods: to report date (procedures) · after report, before issue (amend, new report) · after issue (new report, prevent reliance).
SA 570	**Going concern**	Evaluate management's assessment (12 months from FS date). Outcomes: inappropriate basis → adverse; uncertainty disclosed → "Material Uncertainty" section; not disclosed → qualified/adverse.
SA 580	**Written representations**	On responsibilities and completeness; dated near to but not after report date; refusal / doubt → disclaimer may be needed.

Reporting

Standard	What it is about	Points to write
SA 700	Forming opinion and **report**	Order: Opinion → Basis for Opinion → (Going concern / KAM) → Other information → management and TCWG responsibilities → auditor's responsibilities → other legal and regulatory. Signed with membership no., firm reg. no., **UDIN**, place, date.
SA 701	**Key audit matters**	Listed entities (or when chosen/required). From TCWG matters → significant attention → most significance. Not a substitute for modified opinion.
SA 705	**Modified opinion**	Material not pervasive → qualified; material and pervasive misstatement → adverse; can't get evidence, possible effects material and pervasive → disclaimer.
SA 706	**Emphasis of Matter / Other Matter**	EOM = disclosed in FS, fundamental; OMP = not in FS, relevant to audit/report. Neither modifies opinion; not a KAM.
SA 710	**Comparative information**	Corresponding figures (opinion on current only) vs comparative FS (opinion on each year). Prior year unaudited → Other Matter; prior qualification unresolved → modify.
SA 720	**Other information** (annual report)	Read and consider for material inconsistency with FS / auditor's knowledge; report section; obtain before report date where possible.
SA 800	**Special purpose framework** FS	Describe the framework; alert that FS may not suit another purpose (and restriction on use if needed).
SA 805	**Single statement / element**	Materiality for that element; if adverse/disclaimer on complete FS, no unmodified opinion on an element that is a major part.
SA 810	**Summary FS**	Only if auditor audited the complete FS; opinion: consistent with / fair summary of audited FS; refers to the audited report.

Review, assurance and related services

Standard	What it is about	Points to write
SRE 2400	Review of FS by a practitioner **not the auditor**	Limited assurance; inquiry and analytical procedures; conclusion in negative form ("nothing has come to our attention").
SRE 2410	Review of **interim** FS by the **entity's own auditor**	Limited assurance; uses knowledge from annual audit; negative-form conclusion; modify for departures/scope limits.
SAE 3400	Examination of **prospective financial information**	Forecast (best-estimate assumptions) vs projection (hypothetical assumptions). Moderate assurance on assumptions (negative form); opinion on preparation and presentation; caveat that results may differ.
SAE 3402	Assurance report on **service organisation controls**	Service auditor's Type 1 / Type 2 report used by user auditors (SA 402).
SAE 3420	**Pro forma** financial information in a prospectus	Reasonable assurance that compilation is properly done on the stated basis.
SRS 4400	**Agreed-upon procedures**	No assurance; report of factual findings; restricted to parties who agreed the procedures; independence not required (state if not independent).
SRS 4410	**Compilation** engagement	No assurance; uses accounting expertise to compile; management responsible; report states it is not an audit/review.

Assurance level at a glance

Engagement	Assurance	Report wording	Independence
Audit (SA 700)	Reasonable	Positive opinion ("true and fair")	Required
Review (SRE 2400/2410)	Limited	Negative ("nothing has come to our attention")	Required
Agreed-upon procedures (SRS 4400)	None	Factual findings	Not required (disclose)
Compilation (SRS 4410)	None	Compilation report	Not required

Due diligence, investigation, forensic (Ch 17)

- → **Due diligence**: independent appraisal before acquisition/merger/loan — financial (quality of earnings, working capital, contingent liabilities), tax, legal, commercial, HR, IT. Review 5 years' results; projections on optimistic/pessimistic/likely bases.
- → **Investigation**: fact-finding for a specific purpose (fraud, share valuation, incoming partner, loan); scope set by appointing authority; no fixed periodicity; may need 100% check; no futuristic opinion.
- → **Forensic accounting**: gather and present evidence for legal proceedings; fraud examination (s.447 Companies Act, SA 240).

Digital audit (Ch 12) and ESG (Ch 18)

- → **IT general controls** (access, change management, operations/backup, development) vs **application (automated) controls** (input, processing, output). CAATs = computer-assisted audit techniques (data analytics on complete populations). Cyber risks: phishing, whaling (senior executives), ransomware, DoS.
- → **ESG** = environmental, social, governance reporting. **BRSR** (Business Responsibility and Sustainability Report) — 9 principles; assurance under SSAE 3000 / SAE 3410 as per SM; statutory auditor reads it as other information (SA 720).

PSU (Ch 15) and internal audit (Ch 16) — one line each

- → **Propriety audit** = whether spending was wise/necessary even if within rules. **Performance audit** = economy, efficiency, effectiveness against objectives. **Comprehensive audit** of PSUs covers both.
- → **Internal audit**: s.138 thresholds (see last-day sheet); internal auditor may be CA/CMA/other professional, employee or not; SIAs (Standards on Internal Audit) guide planning, reporting, follow-up (Action Taken Report to Audit Committee).

4-mark theory tip: name the standard + its purpose in one line → 4–5 points from the table → one-line conclusion on what the auditor does.